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Revisiting the SpaceX Valuation: A Post-prospectus update!

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36–46 minutes

A [few weeks ago](#), I [assessed the value of SpaceX ahead of its initial public offering](#), with the admission that I was making my estimates with drabs of data, some of it coming from unofficial sources. I also promised to revisit my valuation, when the prospectus came out, and now that it has, I will examine how the information it contains has changed my view of the company and its valuation. I will also use this post to talk about the information gained by having access to a company's financials, and why the information you glean from those financials is different at younger companies, with growth potential, relative to mature companies.

The Prospectus: Data versus Information

The requirement that companies that plan to go public in the United States have to register with the Securities Exchange Commission (SEC) and file a prospectus has been in place for decades, but the contents have changed over time, with disclosures added on partly by regulation and partly in response to investor demands. In a paper [focusing on IPO disclosures](#) from a couple of years ago, I noted that prospectuses have become more bloated over time, often running four to five times longer than those filed by companies that went public three or four decades ago, but not necessarily more informative. The [SpaceX prospectus that we](#)

[made public on May 20, 2026](#), is 277 pages long, with an addendum that runs another 100 pages, with dozens of pictures (mostly of spaceships going into orbit), a soaring story, but with weak links and multiple distractions. To get a measure of how the prospectus changes my pre-prospectus story and valuation, I will start with the easy part of the update, where I use the numbers from the financial statements in the prospectus to replace my pre-prospectus estimates, on operating metrics like revenues and earnings as well as on share count and IPO proceeds. I will then move on to the weightier part of the analysis, where I assess how the information in the prospectus has changed my story line and value for the company.

The Prospectus: Data update

In my pre-prospectus valuation, where I assessed the [value of SpaceX at roughly \\$1.2 trillion](#), I relied on scraps of information, including leaked stories of estimated revenues (\$15.5 billion) and EBITDA of \$8 billion, since I did not have access to the company's full financial statements. With the release of the prospectus, that shortcoming has been remedied, and I started by updating the operating metrics that drive the intrinsic value of the company:

	<i>Pre-prospectus (my estimates \$ millions)</i>	<i>Prospectus (\$ millions)</i>
Revenues (Launch)	\$4,100.00	\$4,086.00
Revenues (Starlink)	\$11,400.00	\$11,387.00
Revenues (xAI)	\$100.00	\$3,201.00
Operating income or EBIT	-\$2,000.00	-\$2,589.00
Interest expense	\$ -	\$1,945.00
Net Income	Not estimated	-\$4,937.00
R&D Expenses	Not available	Capitalized over 5 years
Operating income (adjusted for R&D)	Not available	\$4,020.00

SpaceX prospectus

As you can see, my estimates for revenues for the launch and connectivity (Starlink) businesses were close to the actual numbers, but my xAI revenue estimates were much lower than reported. Overall, I had estimated an operating loss of \$2 billion in 2025, and the prospectus yielded a larger loss of \$2.57 billion. With almost \$2 billion in interest expenses, unavailable prior to the

prospectus, incorporated, the company reported a net loss of about \$5 billion. A big factor in the operating losses reported by the company were its ballooning R&D expenses, and in keeping with my argument that these expenses should be capitalized, I estimated an earnings before interest, taxes and R&D of \$4 billion.

On the financing front, the prospectus filled in details on cash and debt that were unavailable prior to the prospectus being made public:

	<i>Pre-prospectus (my estimates \$ millions)</i>	<i>Prospectus (\$ millions)</i>
Book value of equity	\$20,000.00	\$41,325.00
Book value of debt	\$0.00	\$22,896.00
Cash and Marketable Securities	\$0.00	\$24,747.00
Net Debt	\$0.00	-\$1,851.00

SpaceX prospectus

My pre-prospectus estimate of book value of equity was a shot in the dark, at \$20 billion, but the acquisition of xAI caused that number to jump to \$41.3 billion, as did the total debt (inclusive of leases) to \$22.9 billion. The former (book value of equity) played little role in my valuation, but ignoring debt of this magnitude may seem monumental, there are two offsetting factors that reduce the impact on my value estimate. The first is that I also ignored the presence of cash, and with \$24.7 billion in cash, the company's net debt is -\$1.9 billion (cash exceeds debt), making the impact on value minimal. The second is that with my estimate enterprise value of \$1.21 trillion, the debt, even if considered in full, is small enough to represent rounding error.

The prospectus did contain information on share count and structure, as well as on the company's plans for the proceeds, and both were useful at the margin, with the former affecting my estimated value per share and the latter determining the treatment of the cash that will be raised from the offering:

- Share count: In my initial valuation, I used the private company pricing per share in conjunction with estimated market cap to back

out a share count of 2467 million shares. With the prospectus, we get a clearer sense of shares outstanding, with a basic share count of 12,535 million shares reported in the prospectus (pages 246 & 247) in computing per share numbers. That share count does not include the new shares that will be issued in the offering, but that share count will be determined by the magnitude of the offering as well as the expected issuance price, and while the total share count includes options, warrants and rights that are exercisable before June 30, it does not include restricted stock units held by employees (see prospectus, page 18) and that information is still blanked out in the prospectus.

- Use of proceeds: It is estimated that SpaceX plans to raise \$75 billion from the offering, and the prospectus specifies that the company plans to hold the proceeds to cover infrastructure investments in these businesses (see prospectus, page 66). That implies that any money raised in the offering will add to the company's cash balance, right after the offering, and will augment firm value (but not enterprise value).

The prospectus also lays bare the governance questions that will overhang the firm, with information that there will be two classes of shares- 6,932 million class A shares with one vote per share and 5,602 million class B shares with ten votes per share. The public offering will be class A shares, and with Elon Musk holding all of the class B shares, he will control more than 85% of the voting rights in the company. In summary, the prospectus is long and filled with distractions, but there is almost nothing in it that surprises me. SpaceX is a growing company that is money-losing and cash-burning, that will be a Elon Musk vehicle (with all the pluses and minuses that entails).

The Prospectus: Story update

In my original post, I noted that SpaceX is a company, where it is

the story about how its businesses will evolve over time that drives value, rather than the base year numbers (on revenues, earnings and cash flows). That story, broadly speaking, has three key spokes to it and they are summarized below:



The first of these spokes, target revenues, frame how big each business can grow over time, and is a function of the total market and market share. The second, the target operating margin, will capture how profitable each business can become, and is determined by unit economics and economies of scale. The third, reinvestment, measures how much each business has to invest to get to target revenues, and will vary with the capital intensity of the business. To frame how my valuation will change, as a result of what I learned from looking at the prospectus, I will start by presenting by pre-prospectus estimates on these key inputs, and then look at the impact of the prospectus on each input.

Pre-prospectus inputs and value

My pre-prospectus valuation of SpaceX contains my storyline for the three businesses that the company is in, with an add-on for the expansion options embedded in each business:

		Revenues in 2036 (\$ millions)	Operating Margin in 2036	Sales to Capital: 2026-30	Sales to Capital: 2031-2035

Business	Storyline	Revenue (\$mm)	Margin (%)	2024 EV	2025 EV
Launch	Dominant player in a growing launch market; 70% market share of \$100 billion market.	\$70,000	40%	4.00	2.00
Starlink	Market leader (75%) in satellite broadband, a niche (10%) of very large broadband service market (\$1.6 trillion)	\$120,000	60%	10.00	5.00
xAI	LLM with focus primarily on consumer subscriptions, rather than business-use	\$80,000	45%	2.50	1.50
Expansion Options	Expansion options in space (travel), internet services and AI-related businesses.	\$50,000	30%	3.00	3.00

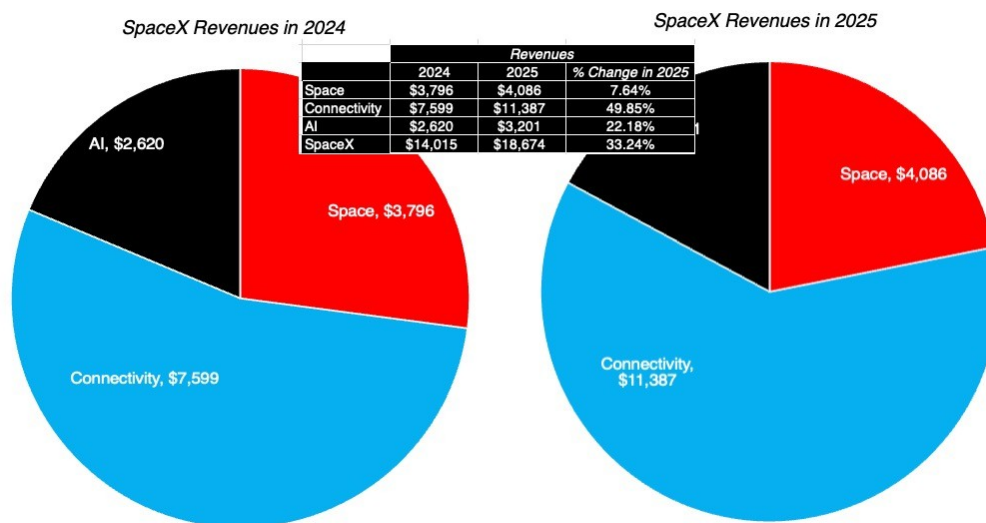
With these inputs in place, I estimated a value of \$1.2 trillion the SpaceX enterprise, and since I ignored cash and debt, this yielded an equivalent market value. Driving these numbers are upbeat stories about each of the three businesses that SpaceX is in, with large revenues and high margins in stable growth.

The Prospectus Effect

To the extent that the prospectus contains information that alters the storylines on any or all of these businesses, it will affect my estimate of value for SpaceX.

1. Revenue Growth (Target Revenues)

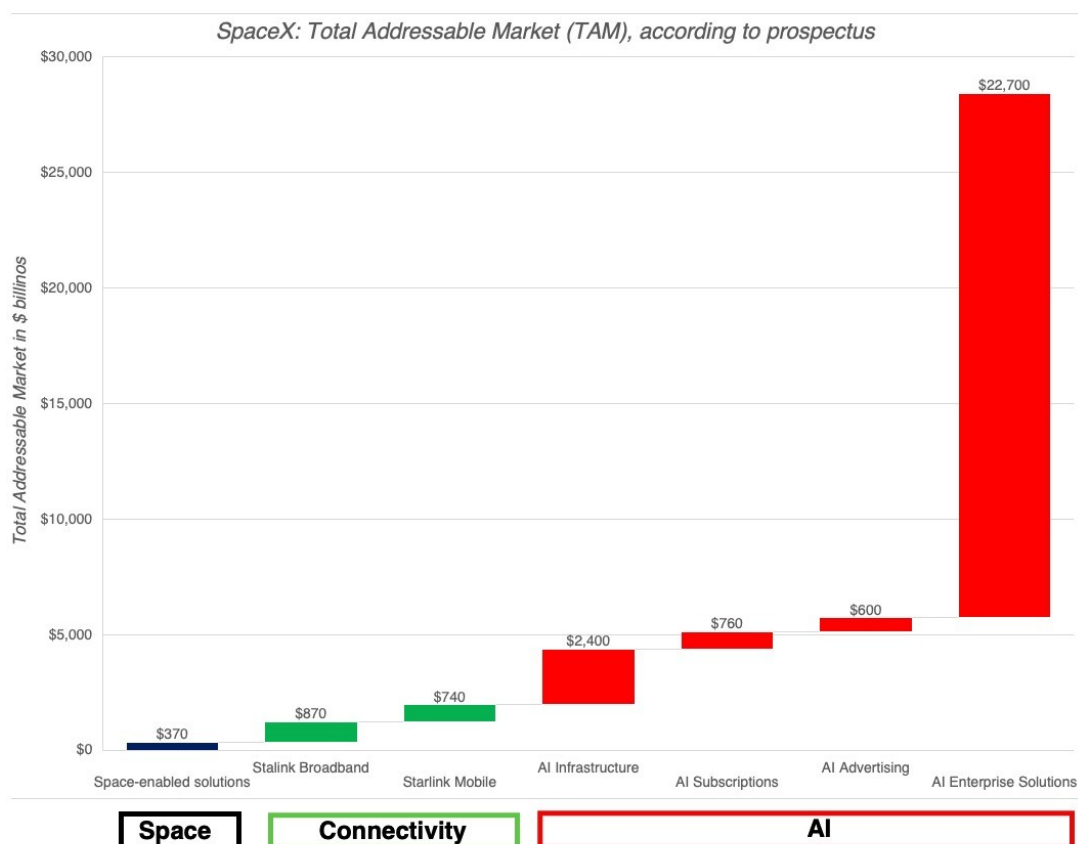
I will start with the growth (target revenues) input and use two parts of the prospectus to reexamine my story. The first is the historical growth reported by the company for each of its three business lines - launch, connectivity and AI.



As you can see, the company saw its revenues grow by a third in 2025, relative to 2024, with divergence across businesses; the

connectivity business led with revenues growing by almost 50%, the AI business saw an increase in revenues of about 22% but the space business reported only modest growth in the year (7.64%). In short, notwithstanding the star role played by AI and the appeal of the rockets in the space launch business, it is Starlink that carried the company in 2025. The prospectus mentions Colossus, xAI's compute center, which has been leased to Anthropic for an eye-popping \$1.25 billion a month, which should kickstart revenues next year, with the potential of tension in future years if xAI plans to go head-to-head against Anthropic in the AI products market.

The other relevant section of the prospectus contained estimates of total addressable market (TAM) for the company, broken down by business:



If the prospectus is to be believed, SpaceX has the largest TAM of any company in history, with a total TAM of \$28 trillion, and AI accounts for \$26 trillion of that market estimate. This estimate borders on fantasy, but I will cut the bankers who came up with

these numbers some slack for two reasons. First, the estimation of TAM has been gamified by Silicon Valley, with bloated and patently unreachable numbers floated for companies, as I noted when I [valued Uber](#) (which was given a TAM of \$5.7 trillion in its prospectus) for its IPO in 2019 and [Airbnb](#) (with a TAM of \$3.4 trillion in its prospectus) in 2020. Second, it is true that AI agents are usable across almost every business and geography, giving it much wider reach than most products and services, and while the details of how the TAM was estimated are not specified in the prospectus, my guess is that the \$26 trillion estimate includes all or most of the operating expenses of all businesses.

Story takeaway: I will stick with my estimates for target markets for the space launch and connectivity businesses, since the TAMs in the prospectus are, in my view, over reaches, and I will slow growth in the near years, to reflect that these businesses will take time to mature. In the AI business, I disagree with the magnitude of the TAM in the prospectus, but the acquisition of Cursor and the indications in the prospectus suggest that xAI very much wants to be part of the enterprise solutions space, notwithstanding its immense capitalization needs, and I will double my target revenues for AI from \$80 billion to \$160 billion, reflecting my estimate of a TAM of about \$3 trillion to \$4 trillion for AI products and services from businesses.

2. Profitability

On the profitability front, the first part of the prospectus that I looked at was its breakdown of income statements, by business:

Space Business

Has the best unit economics, and showed improvement year-t-year, reflecting the superior economics of reusable spacecraft in space launches. R&D takes a substantial bite, but its effect should level off, as growth steadies.

Connectivity Business

Solid and improving unit economics, notwithstanding lower revenues per subscriber. As with space business, R&D has significant effect on operating income, but here again, treating R&D as a capital expense will cause its effect to level off.

SpaceX: Unit Economics, by business

	Space		Connectivity		AI	
	2024	2025	2024	2025	2024	2025
Revenues	\$3.796	\$4.086	\$7.599	\$11.387	\$2.620	\$3.201

Cost of goods sold	1,541	\$1,352	\$4,768	\$5,921	\$1,687	\$2,178
Gross Income	\$2,255	\$2,734	\$2,831	\$5,466	\$933	\$1,023
R&D Expenses	1,835	\$3,004	\$1,176	\$575	\$1,176	\$5,064
Other oper expense	399	\$387	\$372	\$468	\$1,318	\$1,827
Operating Income	\$21	-\$657	\$1,283	\$4,423	-\$1,561	-\$5,868
Gross Margin	59.40%	66.91%	37.25%	48.00%	35.61%	31.96%
Operating Margin	0.55%	-16.08%	16.88%	38.84%	-59.58%	-183.32%
EBIT&D Margin	48.89%	57.44%	32.36%	43.89%	-14.69%	-25.12%

AI Business

Least attractive unit economics, with worsening in 2025, driven partly by the cost of delivering on AI subscriptions and services and partly by competitive pricing. R&D is substantial, and with the capital expenditures in this business, it is the most capital intensive of the three businesses.

With the caveat that we have only two years of detailed information, there are interesting findings that emerge from the historical data on each of the businesses.

- The space business has the best unit economics of the three business, with a gross margin of about 67%, reflecting the cost advantages of its reusable rocket technology. While the space business reported an operating loss, that was entirely because of its weighty R&D expenses, and capitalizing those expenses results in a healthy operating margin for the business.
- The connectivity business does not have gross margins as high as the space business, but those gross margins are improving, with gross margins jumping from 37% in 2024 to 48% in 2025. This business had positive operating income in 2025, even before capitalizing R&D, and improves substantially with capitalization.
- The AI business not only has the lowest gross margins of the three businesses, but saw deterioration of those margins in 2025, reflecting intense competition from other LLMs as well as the rising costs of delivering AI products and services.

There are other parts of the prospectus that come into play in the profitability discussion, with each of the businesses:

- On the space launch business, the cost of launching payloads at SpaceX have been trending down, making its already large cost

advantages in the business even larger.

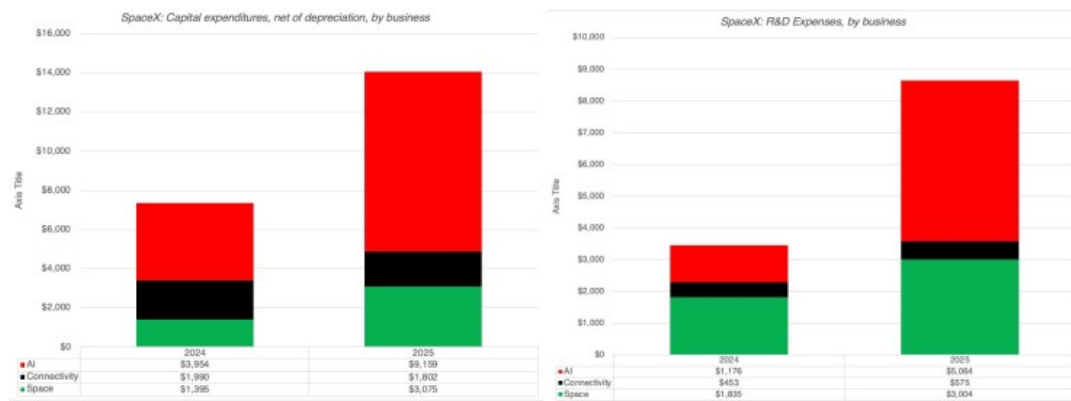
- On the connectivity businesses, there is bad news and good news on the per user front. The bad news is that the revenues, per month, per subscriber, declined from \$99 in monthly revenues in 2024 to \$66 in monthly revenues in the first quarter of 2026. The good news is that the number of subscribers has doubled from 5 million in the first quarter of 2025 to 10.3 million in the first quarter of 2026, with the bonus that the company has been able to improve its profitability (see gross margins in the table above) over time.
- On the AI business, there is not much to go on, on the profitability front, since the focus in the prospectus is more on the increase in compute capacity (see nameplate compute draw on Page 90 of the prospectus) than it is on revenues, especially on the enterprise front. Here again, though, the Colossus lease with Anthropic should help with profitability in the near term.

Story takeaway: The unit economics for the space businesses, in conjunction with the recognition that there are no other substantial operating expenses (outside of the misclassified R&D expense) in either business, lead me to increase my estimate of the target margin for the business to 45%, from 40%. I will leave intact the target margin of 60% for the connectivity business, because once the satellites that service this business are in space, this is the business that will benefit the most from scale. My biggest shift is in my estimated target margin is for the AI business, where the dynamics that are pushing gross margins down, i.e., increased competition and high costs of delivering AI services, will persist; my estimated operating margin drops from 45% to 25%.

3. Reinvestment

In my post prior to accessing the prospectus, I did describe SpaceX as a capital intensive business, but the actual spending on capital expenditures and R&D in the prospectus is breathtaking in

its magnitude:



In 2025, the company spent almost \$14 billion in capital expenditures and almost \$9 billion in R&D, a doubling of its reinvestment from 2024. In particular, it is AI that is driving the bulk of this surge, accounting for more than \$14 billion in total reinvestment in 2025, with \$9.1 billion in capital expenditures and \$5.1 billion in R&D. The positive twist that a SpaceX optimist would put on these numbers is that the spending on AI in particular is a positive, indicating that the company is not planning to settle on a niche market strategy, but instead will go head-to-head with Anthropic, Google and OpenAI for the enterprise solutions markets. The negative spin is that this ambitious agenda will translate into tens of billions more in capital expenditures in the near years, creating a drag on the cash flows and value destruction if they lose the AI market competition.

Story takeaway: Given that SpaceX is continuing to invest substantial amounts in its space launch and connectivity businesses, I will increase reinvestment in the near term (years 1-5) by lowering how much they will generate as additional revenues for every additional dollar of capital invested (lower sales to capital ratios). With AI, where I was already assuming that reinvestment would be large (with a low sales to capital ratio), the tripling of target revenues will result in a surge in reinvestment to generate the higher sales.

Updating Story and Value

While the core story of SpaceX being a company with growth potential and strong competitive advantages that I framed prior to reading the prospectus remains intact, there are changes to that story that come from the information in the prospectus. The prospectus reinforces the notions that the company is best positioned in the connectivity business to generate both revenue growth and profits in the near term, that its cost advantages in the space launch business will persist and deliver profits, but that target market will be slower to develop, and that the AI business has both the largest target market and poses the biggest challenges, in terms of profitability and capital intensity, for SpaceX.

Bringing together my changes in target revenues, operating margins and reinvestment inputs allows for an update of the input table that I started this section with:

<i>Business</i>	<i>Storyline</i>	<i>Revenues in 2036 (\$ millions)</i>	<i>Operating margin in 2036</i>	<i>Sales to Capital (2026-2030)</i>	<i>Sales to Capital (2031-2035)</i>
Space	Dominant player in a growing launch market; 70% market share of \$100 billion market	\$70,000	45.00%	3.00	4.00
Connectivity	Market leader in satellite broadband, a niche or a very large broadband service market (\$1.6 trillion)	\$120,000	60.00%	3.00	5.00
AI	LLM competing head-to-head with lead players in a very large, competitive and capital intense space.	\$160,000	25.00%	1.50	2.50
Expansion	Expansion options in space (travel), internet services and AI	\$50,000	30.00%	5.00	5.00

Clearly, some of the changes in inputs (such as the higher margins for the space launch business and a bigger target market for AI) will push value higher, and some of the inputs (including a slowing of near term growth for all business, and the much lower margin for the AI business) will push in the opposite direction. Since US treasury rates have risen from 4.20% at the time of my earlier valuation to 4.56% at the start of June, I have increased the costs of capital that I use in the valuation accordingly (to 8.37% from 8.02% to start the valuation, and the steady state cost of capital to

8.25% from 8.00%; both numbers would put SpaceX at close to the median for all US companies). With these updated inputs, I reestimate the cash flows and the valuation for SpaceX, with the IPO proceeds (estimated at \$75 billion) added to the mix:

SpaceX						
To infinity and beyond						Jun-26
SpaceX has three spokes in its business wheel - a space launch business, where it dominates because of its cost advantages over competition, a connectivity business where it uses the lead it has in satellites to establish a clear frontrunner status and an AI business, which has the largest market potential but the shakiest business economics. I value the three businesses, with their specific characteristics, and report the aggregated numbers below.						
The Assumptions						
	Base year	Year 1	Year 10		After year 10	Link to story
Revenues (a)	\$ 18,674		4.56%		4.56%	Growth in EV market & Tesla's early mover advantage work in its favor.
Operating margin (b)	21.53%	21.53%	22.21%		38.10%	Tech twist gives a boost, but price cuts and cost pressures will cap margins
Tax rate	10.00%	10.00%	25.00%		25.00%	Global tax rate
Reinvestment (c.)		Sales to capital	3.00	RIR =	30.40%	Capacity build up allows for less reinvestment in the near years.
Return on capital	6.80%	Marginal ROIC =	1563.53%		15.00%	Cost of entry will limit competition.
Cost of capital (d)		8.37%	8.25%		8.25%	Moves to median company cost of
The Cash Flows						
	Revenues	Operating Margin	EBIT	EBIT (1-t)	Reinvestment	FCFF
1	\$38,762	8.46%	\$3,279	\$2,951	\$10,181	-\$7,229
2	\$62,868	11.40%	\$7,166	\$6,449	\$12,217	-\$5,767
3	\$85,367	14.84%	\$12,672	\$11,404	\$11,402	\$2
4	\$102,242	18.51%	\$18,923	\$17,031	\$8,552	\$8,479
5	\$119,116	22.21%	\$26,459	\$23,813	\$8,552	\$15,261
6	\$179,293	24.91%	\$44,653	\$38,848	\$16,456	\$22,392
7	\$247,505	28.04%	\$69,402	\$58,297	\$18,947	\$39,350
8	\$312,503	31.35%	\$97,977	\$79,361	\$17,951	\$61,411
9	\$366,251	34.70%	\$127,105	\$99,142	\$14,463	\$84,679
10	\$420,000	38.10%	\$160,000	\$120,000	\$14,463	\$105,537
Terminal year	\$439,152	38.10%	\$167,296	\$125,472	\$38,143	\$87,329
The Value						
Terminal value	\$ 2,366,626					
PV(Terminal value)	\$ 1,062,566					
PV (CF over next 10 years)	\$ 161,882					
Value of operating assets =	\$ 1,224,448					
Adjustment for distress	\$ -			Probability of failure =	0.00%	
- Debt & Minority Interests	\$ 22,896					
+ Cash & Other Non-operating assets	\$ 99,747			Includes \$75 billion from IPO offering		
Value of equity	\$ 1,301,299					
- Value of equity options	\$ -					
Number of shares	13,301.95			Includes added shares from \$75 billion @ intrnsic value		
Value per share	\$ 97.83			Offering price set at \$135 on June 3, 2026		

The enterprise value for SpaceX edges up from \$1.21 trillion, in my pre-prospectus valuation, to \$1.22 trillion with the post-prospectus numbers, and the overall equity value increases to \$1.3 trillion, with almost all of the increase coming from the influx of \$75 billion in cash from the IPO, albeit with a higher share count. The value per share of about \$100 will need some revisiting as the IPO numbers firm up and more information is forthcoming on restricted stock units owned by employees, but just as I was finishing this post, a news story hit the wires that the offering price would be set at \$135/share.

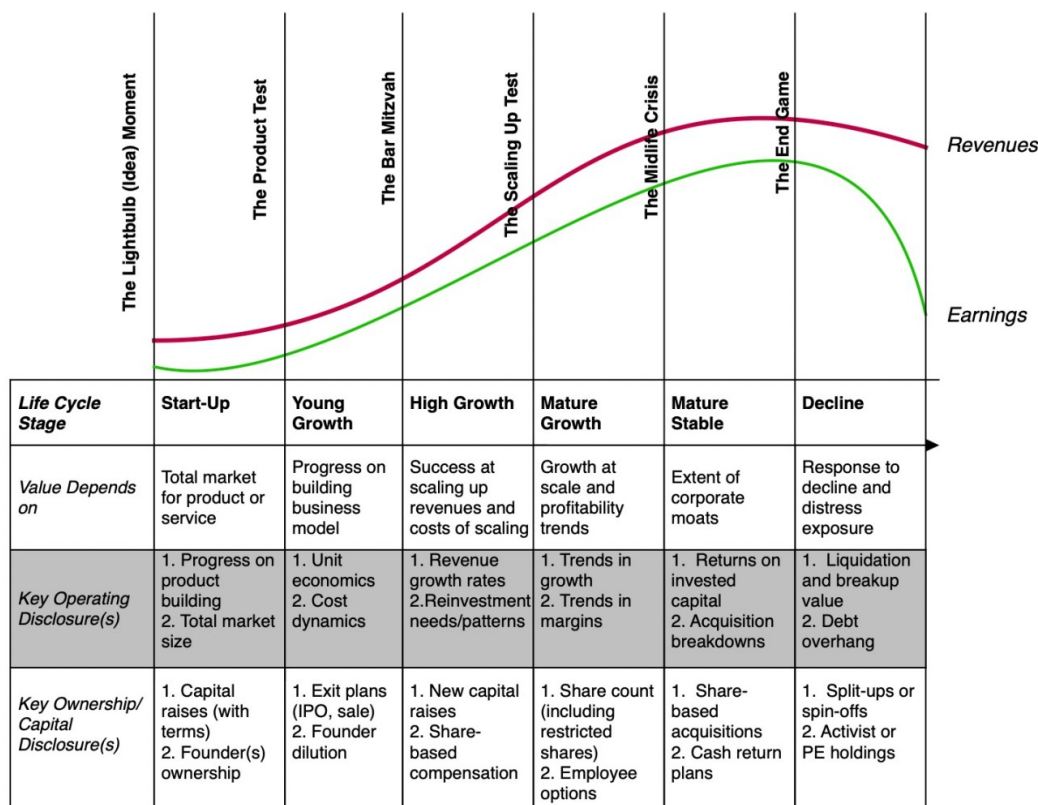
If I were to summarize the impact of the prospectus on my SpaceX story, it would be that it has made the story bigger, but also more volatile. There are a multitude of risks that SpaceX faces in each of its businesses, but the one that I would be concerned about the most is that it will overreach in the AI business, beginning with an overestimate of the target market for AI products and services and the strength of its own competitive position in that market, and following through with investments that reflect those misplaced assessments. Those concerns are heightened by a voting share structure that locks in Elon Musk's control of the company, since there is little that shareholders can do to restrain the company, if SpaceX doubles down on capital expenditures and acquisitions in the AI space, even after it becomes clear that the AI market is much smaller than anticipated and/or that xAI's offerings are not as good as the competition. If you add to this mix the antipathy that exists between Musk and Sam Altman, you have the potential for a UFC match between two monstrous egos, funded by tens of billions of dollars shareholder money.

Financial Statements and Value: The Life Cycle Effect

Financial analysis and valuation, [going back to Ben Graham's Security Analysis](#), has always been centered on financial statements, and that focus has become more intense over the last few decades as access to data and analysis tools has expanded. In fact, much of what passes for valuation has become financial modeling, where line items in financial statements are forecast based upon the historical time series, with the proverbial bottom lines being earnings and cash flows. Along the way, ratios computed from financial statement numbers are used to screen companies for investment quality. Some of these ratios, such as accounting returns on capital and equity, have become the basis for assessing company quality and competitive moats in the hands of consultants and investors. The SpaceX prospectus is a case study

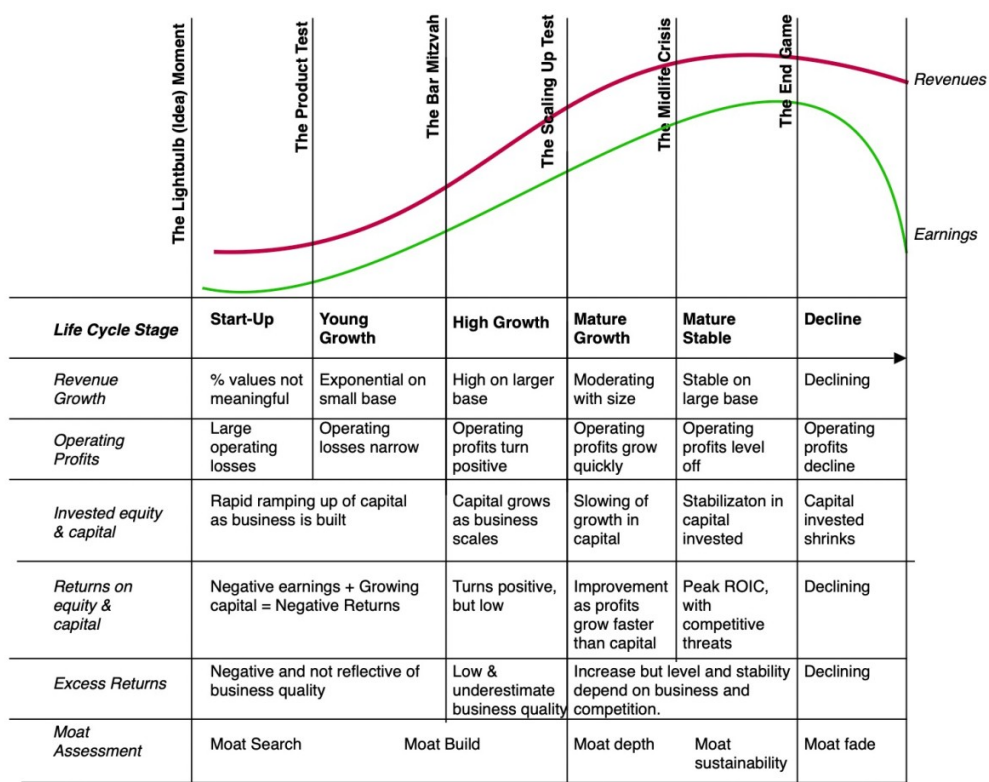
in why this approach to investing is often myopic and misleading, and why the informational value of financial statements will change as companies grow and mature.

In valuing companies, you are always trying to forecast revenues, profits and cash flows in future, but the key questions you want answered and the drivers of value shift as you move through the life cycle:



As you can see, for young companies, the key determinants of value include sizing the total market and assessing unit economics, and not the proverbial bottom lines in accounting statements including the magnitude of revenues and profitability. As companies move through the life cycle from start-up to mature to decline, you should expect to see financial statements evolve as well. Young and high growth companies will generally report small revenues (though they expect those revenues to ramp up over time) and losing money and having negative cash flows is a feature, not a bug. As companies mature, revenues will get larger (albeit with lower growth) and profits turn positive, as will free cash flows

available to return to shareholders in dividends and buybacks.



If you allow for the fact that all three of SpaceX's businesses are young, falling in the young to high growth categories, the big questions driving value are about market size and unit economics, since the former provides the basis for revenue growth and the latter determines profitability. That is why, when looking at the prospectus for SpaceX it was the data on total addressable markets, unit economics and capital intensity that had a bigger impact on value, and this information, for the most part, was in the footnotes to the financials, rather than in the financial statements themselves.

For those who are focused on value metrics/constraints (consistently money making, high profit margins and accounting returns) and pricing multiples (low EV to EBITDA or low PE), the SpaceX prospectus is full of red flags. SpaceX is a company with small revenues and large losses, and paying a hundred times revenues for it (which is where a \$1.8 trillion pricing would put it)

seems foolhardy. I have no quarrels with this point of view, which animates old-time value investing, but this perspective comes with a cost in terms of investment choices. Investors who are wedded to never buying money losing companies or never paying more than twenty times earnings for a stock will end up with portfolios of mature (and declining) businesses. If that is their comfort zone, the strategy is perfectly defensible, but they should dispense with complaints about never being able to find high growth stocks to invest in or critiques of others who find these stocks attractive, notwithstanding the weak numbers.

There are many good arguments that can be made about why you should not invest in SpaceX, but basing that conclusion on the fact that they are money-losing or have negative cash flows or trade at a high multiple of revenues is both lazy and unconvincing. In contrast, making a case against investing in SpaceX because you believe that the target markets for its businesses will be far smaller than the company thinks they will be, or that cost and competitive pressures will drive margins down or even that you find its corporate governance structure and dependence on a personality (Elon Musk) off-putting is perfectly reasonable. If you do make that case, though, it is worth remembering that this is your point of view, and that disagreements about market size and profitability across investors, especially in young companies, are natural and healthy. In short, based on my inputs and story, I think that SpaceX is worth about \$1.25-\$1.3 trillion, but if you contend that it is worth \$3 trillion or only half a trillion, it is neither my job nor my place to convince you that I am right and that you are wrong.

The IPO Pricing Game

In the coming weeks, you will undoubtedly be exposed to multiple perspectives on SpaceX, and that is healthy. That said, you will be better equipped to make sense of these perspectives, and perhaps incorporate some of the views into your own, and reject

those that do not make sense, if you have an understanding of what an IPO process involves. In particular, understanding the motivations of the different players in the game (the investment bankers setting the offering price and managing the offering, the issuing company, the investors and traders jockeying for shares at that offering price and the traders positioning themselves for the first day of trading) will help determine whether you should be playing this game or sitting it out, at least for the moment.

The Bankers

Let's start with the sequencing that goes into a conventional initial public offering, though alternatives have emerged to it in recent years:

Issuing Company	Banker's Role
Private company chooses to go public.	Timing Help in finding timing window and location for public offering. Also help in crafting company's narrative and getting financials in order for offering.
Company picks a lead investment banker to manage the process, who creates a syndicate of other banks to help market and distribute.	Filing & Offering Details Assist in the writing of the prospectus and in offering size.
Issuing company files a prospectus and specifies how much it plans to raise in the issuance and how it plans to use the proceeds.	Pricing Frame the pricing (metric and peer group), gauge demand for the shares, and fine-tune the pricing to keep issuing company and investors "happy."
Bankers set a preliminary price and test out the price with prospective investors.	Selling/Marketing With company's help, inform and excite potential investors.
Bankers decide on final offering price and number of shares that will be offered.	Price Guarantee If market opens at below "offer" price, deliver the guaranteed price.
Bankers and company managers do a road show for investors.	After-Market Support Provide both explicit support, by
On offering date, shares start trading, with market setting a clearing price.	
Post-offering, bankers provide support for the issuing company's shares, allowing	

the issuing company's shares, allowing for a smooth transition to owners cashing out.

buying shares if needed, and implicit support, with favorable research and recommendations.

As you look at the role played by bankers to the IPO process, allowing them to keep a slice of the IPO proceeds, the SpaceX IPO is a testimonial to the dwindling value added by bankers on every dimension:

1. Timing: It is urban (or market) legend that investment banks can time markets, and that this market timing can help determine the best time to go public. Just one look at the track record of market strategists at investment banks should dispense with this delusion, since banks (and most institutional investors) are (and have never been) good at gauging market momentum and shifts in mood.
2. Filing and Offering details: It is true that there are technical details and logistical steps to filing a prospectus and setting offering details, but they are almost all mechanical. With SpaceX, I am not sure whether the prospectus, as filed, was the work of a team of bankers, but if it was, I wonder what an entirely Grok-written prospectus would have looked like, and whether we would have noticed the difference.
3. Pricing: In an IPO, the bankers' mission is to price companies for their offering, not value them, and while they usually draw on pricing multiples and peer groups to make that pricing judgment, they are guided by the pricing in the most recent private transactions, usually in the form on venture capital rounds. With SpaceX, that task is simplified by the reality that this company, while private, has had active trading in its private shares, and that it was priced at roughly \$1.2 trillion prior to the IPO process commencing. Adding the \$75 billion in offering proceeds, and incorporating the advantages of increased liquidity from being a public company and becoming part of the S&P 500, it is not surprising that there is a sense that the offering will be priced at

between \$1.5 trillion to \$2 trillion, with or without the investment banking input. My guess is that we will end up somewhere in the middle, with some handwaving about revenue multiples and other AI companies used to justify that pricing. (After I finished this post, a news story popped up that the offer price would be set at \$135/share, translating into about a \$1.8 trillion pricing for the company.)

4. Selling/Marketing: In an age where investment banks have lost credibility and social media is where marketing happens, SpaceX can generate its own marketing spin, and has an army of influencers behind it. In addition, almost every institutional investor has a point of view on whether to own SpaceX or not, it is unclear what exactly a roadshow can do to augment the sales pitch.
5. Price guarantee: The pricing guarantee that investment bankers offer in initial public offerings is a mostly empty promise, since they systematically set offering prices at below (by 15-20%) what they believe the market will pay. That is the reason that the offer price for SpaceX will be set below the upper end of the range, and while the discount may seem like a significant loss to funders and current owners, the fact that the offering is for less than a tenth of the shares in the company will soften the blow.
6. Post-market support: As a follow-up to the price guarantee, investment banks often offer after-market support for companies in the days after they go public, buying shares if the stock comes under selling pressure. With SpaceX, that option is off the table, since no investment bank has the capital to support the pricing of a two-trillion company, if investors turn negative on it.

In fact, given that banks are perhaps getting more from the initial public offering, in terms of publicity and allotments for their preferred clientele, than SpaceX is getting from their services, you could argue that the bankers should be paying the company for reflected glory, rather than charging them fees. The only good

reason that I can think of for SpaceX not going the direct listing route, where you dispense with the kabuki dance of offerings and let the market set the offering price, is that the company needs the cash from the offering, and that route is much more difficult to take in a direct listing.

Issuer (Company, Founder and Investors)

Looking at the IPO from the SpaceX perspective, the public offering will provide benefits. For the investors in the company in its private form, including venture capitalists from early in its life to public investors in more recent years, the IPO will allow them to cash out, albeit after the lock-out period expires in a few months. For the company, the increased access to capital from being a public company will allow it to fund the capital expenditures and investment needs that emanate from the company's ambitions in the AI business. For Elon Musk, the public offering has the potential to make him the first trillionaire in history, in addition to unlocking new pathways to further enrichment for meeting specified targets (including getting a million people on Mars).

Since some of these benefits have been in existence for many years, the fact that company stayed private for that period is an indication that there are costs to going public that have held it back. The first is that, notwithstanding Musk's voting control of the company, become a public company will open SpaceX to market scrutiny, in the form of earnings reports every quarter and insider trading reports. The second is that the market is fickle, and while it is rewarding companies that invest in AI with high market prices today, it can change its mind and punish them for the same reason. The third is that while there is little that investors can do to trade and make money on overpriced private businesses, they can sell short on public companies.

Investors and Traders

SpaceX is a company that has been in the public eye for a decade or more, even as a privately owned enterprise, partly because of its social media boosters and partly because its space launches make it a magnet for attention. There are many who are drawn to the company, but unable to invest in it as a private business, will now have a chance to do so, if it goes public. But should they try to partake in the initial offering? The answer to that question depends on whether you are an investor, where you buy (sell) companies that you believe are trading under (over) their assessment of value and hope the gap closes or a trader, where you buy (sell) companies where you expect prices to go up (down) in the future, for a multitude of reasons, only some of which may relate to company fundamentals.

I am more investor than trader, and I say that without judgment, since the end game in markets is to make money, not score intellectual points. The truth is that I am not a very good trader, and I am better off staying in my preferred domain, which is valuation, albeit with no guarantees of a payoff. My valuation of SpaceX was driven by my interest in the company and belief that it is in unique, cutting-edge businesses, and my decision on whether to buy into the offering is therefore driven by my assessment of its value. At the rumored pricing of \$1.8 trillion for the company, it is too richly priced for my tastes, given my valuation of \$1.25-\$1.35 trillion for the equity in the company. That does not mean that I will never buy the stock, since the market does change its mind, and if the price does drop by enough, my decision would change accordingly. It is worth remembering that Facebook was selling at half its offering price a few months after its IPO, and that Uber lost more than 50% of its market cap in the year after its public offering, moving both companies from over to under valued.

If you are a trader, though, the game changes. Specifically, the intrinsic value of the company is not central to your decision,

perhaps even irrelevant, and your judgment on whether you seek to partake in the SpaceX offering will depend on your reading of market mood and momentum. I would not be surprised in the least to see the offering priced at \$1.8 trillion, and see a jump in the price on the day of or in the weeks after the offering, and if that is your most likely scenario, being able to get into the offering at the offer price or even in the first few hours or days of trading will be a winning strategy. The risk, of course, is that momentum can shift quickly, causing a significant price drop, effectively making timing your trades right key to your trading strategy. The shifting and often unpredictable forces of mood and momentum are also the reason that as an investor, I would not sell short, notwithstanding my value assessment, even if the pricing for the company pushes from \$1.8 trillion to \$2 trillion or more.

A Loaded Bet on AI!

As the IPO process for SpaceX heats up in the coming weeks, you should prepare yourself for a flood of selling from the company and its bankers, with talk of possibilities and potential dominating the discussion, as well as arguments from the other side, where it will be framed as a vehicle for AI hype, destined to fail. If you are on the receiving end of these sales pitches, you should listen but check the numbers for plausibility and make your own judgments. For the bankers involved and the issuing company, the biggest danger to a successful offering is not that there will be near-term reality checks on their hype, but that the market mood will shift, either in the aggregate or specifically related to AI, in the weeks leading up to the offering. No matter what your views are about the SpaceX IPO, positive or negative, there is no denying that this company is a loaded bet on the AI and Elon Musk, and while that may concern some, there are others who will look at Musk's track record with Tesla and feel the odds are in their favor.

YouTube

Attachments

Blog posts on SpaceX